

[REDACTED]

JUSTIFICATION FOR AN EXCEPTION TO FAIR OPPORTUNITY

Credit Reporting Services for Personnel Vetting (PV)

1. Agency and contracting activity:

The Defense Counterintelligence and Security Agency (DCSA), Procurement Solutions (PRS) Directorate, is the procuring activity for this action. The PRS Directorate proposes to enter into a contract action on a basis of other than full and open competition for Personnel Vetting (PV).

2. Description of Action:

This action is for a new firm-fixed-price task order issued to Verato, Inc. under DCSA's Credit Reporting Services Indefinite Delivery Indefinite Quantity (IDIQ), Contract number HS002123D0004. This task order will be funded with DCSA Working Capital Funds (DWCF).

3. Description of Supplies/Services:

The contractor shall provide both Single Bureau Consumer Employment Credit Reports, from one of the three major credit bureaus (TransUnion, Experian, and Equifax), and Tri-Merge Credit reports. The services include delivering these reports in a specific Department of Defense (DoD) format and providing a system-to-system connection (such as BI Connect Direct Batch File) for legacy, current, and future DCSA systems, including the Personnel Investigations Processing System (PIPS). The estimated workload for this Task Order is for [REDACTED] single employment credit reports and [REDACTED] Tri-Merge reports estimated value of [REDACTED]. To minimize the duration of this non-competitive action, the Period of Performance for this task order is strictly limited to a six-month base period, with no option periods. This shortened duration is designed to provide uninterrupted credit reporting services for the personnel vetting mission while the Contracting Officer actively works to resolve current barriers to competition.

4. Exception to Fair Opportunity Authority and Supporting Rationale:

The statutory authority which permits not providing each awardee a fair opportunity to be considered for each order exceeding the micro-purchase issued under a multiple award contract is 41 U.S.C. 4106(c) as implemented by FAR 16.507-6(b)(1). The agency need for the supplies or services is so urgent that providing a fair opportunity would result in unacceptable delays. This requirement directly impacts DCSA PV Data Collection & Analysis's (DC&A) ability to execute its personnel vetting mission to deliver efficient and effective background investigations. Without the continuous ability to obtain Single Bureau Consumer Employment Credit Reports, DCSA cannot safeguard the integrity and trustworthiness of the Federal and contractor workforce. The volume and speed required by this mission are severe. Specifically:

- Initial Vetting: This requirement impacts approximately [REDACTED] investigations each day. These credit checks are currently returned on the same day. Any disruption would create immediate delays, particularly if follow-up is required with the subject of the investigation.
- [REDACTED]

- [REDACTED]
- Continuous Vetting: DCSA requires approximately [REDACTED] single bureau credit checks weekly. An inability to conduct these checks creates a critical gap in meeting trusted workforce requirements and delays the resolution of potential financial risks.

Because of this extreme daily volume, DCSA requires a contractor with an already established system-to-system connection (e.g., BI Connect Direct Batch File) to DCSA's legacy systems, including PIPS, as mandated in PWS Section 2.5. Verato, Inc. already possesses this highly specialized, fully operational connection. Attempting to compete and award to a vendor without an existing, tested connection would require a lengthy IT onboarding and testing phase. Given the processing volumes noted above, even a brief transition period would create an insurmountable backlog of responses, directly degrading our customers' ability to onboard personnel or grant appropriate access.

Furthermore, competition under this vehicle is administratively impossible at this time. There are only two prime contractors awarded under the Credit Reporting Services multiple-award IDIQ: Verato, Inc. and Array US, Inc. On April 25, 2026, Array US, Inc.'s active System for Award Management (SAM) registration lapsed and as of April 30, 2026, is still inactive. In accordance with FAR 4.203-1(b), the Government is prohibited from making an award to an offeror that is not actively registered in SAM. Because this exception is driven by immediate technical and administrative barriers, DCSA is limiting this sole-source task order to a six-month duration. This short-term solution ensures DCSA avoids an insurmountable vetting backlog and mission failure, while limiting the scope and duration of the non-competitive award. Verato, Inc. is both technically the only vendor with the required system connection in place, and administratively the only eligible IDIQ holder. Therefore, they are the only awardee capable of providing these highly specialized services without causing unacceptable delays to the DCSA personnel vetting mission.

5. Other Facts:

- a) Market Research: In accordance with FAR 10.001, DCSA, Data Collection & Analysis (DC&A) utilized the initial market research conducted in February 2023 for the multiple-award IDIQs, which remains valid for the first 18 months. To validate this research, DC&A conducted additional market research in February 2026. This review utilized the GSA Professional Services Schedule (PSS) category 561450, SIN 520 16 (Business Information Services). Three randomly selected vendors from the GSA schedule [REDACTED] were reviewed to determine pricing for Single Bureau Consumer Employment Credit Reports.

The findings demonstrated that the established firm-fixed pricing on the existing IDIQs (Array at [REDACTED] and Verato at [REDACTED] per report) is significantly more cost-effective than the other available GSA vendors (e.g., [REDACTED] and [REDACTED]). Consequently, market research indicates that

[REDACTED]

utilizing the existing Credit Reporting Services IDIQ is the most cost-effective solution for DCSA.

While the February 2026 market research initially recommended a competitive task order between the two IDIQ holders, subsequent review confirmed that a fair opportunity process is no longer viable. Verato, Inc. is currently the only awardee that possesses the mandatory system-to-system connection to DCSA's legacy systems (PIPS) required by the PWS and is administratively eligible to receive an award. Therefore, pursuing competition is not in DCSA's best interest, as Verato is the singular vendor capable of meeting the technical requirements without causing unacceptable delays to the mission.

b) Procurement History:

Since the inception of the IDIQ, DCSA has successfully provided fair opportunity to both prime contractors, Verato, Inc. and Array USA, Inc. All previous task orders were competed between the two IDIQ holders and awarded on a competitive, Lowest Price Technically Acceptable (LPTA) basis. The procurement history under this vehicle is as follows:

- HS002123F0062: [REDACTED] (Verato, Awarded 8/24/2023)
- HS002123F0063: [REDACTED] (Array, Awarded 8/24/2023)
- HS002124F0029: [REDACTED] (Verato, Awarded 4/30/2024)
- HS002125F0003: [REDACTED] (Array, Awarded 11/25/2024)
- HS002125F0005: [REDACTED] (Array, Awarded 2/26/2025)
- HS002125FE036: [REDACTED] (Array, Awarded 4/16/2025)
- HS002125FE042: [REDACTED] (Array, Awarded 4/28/2025)

- c) Active SAM Registration: There are only two prime contractors awarded under this multiple-award IDIQ, Verato, Inc and Array US, Inc. As of April 25, 2026, Array US, Inc does not have an active registration in the SAM. In accordance with FAR 4.203-1(b), the Government is prohibited from making an award to an offeror that is not actively registered in SAM. Consequently, Verato, Inc is administratively the only eligible IDIQ holder capable of receiving this task order award to meet the Government's mission without unacceptable delays.

6. Interested Sources:

To date, no other sources have written to express an interest in this requirement. This task order is being issued against the established Credit Reporting Services multiple-award IDIQ, which has two prime contractors, Verato, Inc. and Array US, Inc. As this is a task order under an existing vehicle and an exception to fair opportunity is being utilized in accordance with FAR 16.507-6.

7. Actions to Increase Competition:

DCSA is committed to maximizing competition and intends to return to competitive task order procedures for future requirements under the Credit Reporting Services IDIQ once

[REDACTED]

[REDACTED]

the current barriers to competition are resolved. To remove these barriers and avoid the need for similar exceptions in the future, DCSA will take the following actions:

- **Resolution of Administrative Barriers (SAM Registration):** The Contracting Officer will continuously monitor Array US, Inc.'s SAM registration status. The six-month performance period of this task order provides adequate time for Array to resolve their registration issues, thereby restoring the competitive pool of eligible IDIQ holders for the next iteration of this requirement.
- **Continuous Market Research:** As demonstrated by the February 2026 market research report, DCSA will continue to monitor the commercial marketplace (including GSA Professional Services Schedules) for Business Information Services and credit reporting capabilities. This ongoing market intelligence will be used to structure the next generation of this procurement to attract a wider pool of technically capable prime contractors.

8. Fair and Reasonable Cost Determination:

I hereby determine that the anticipated cost to the Government for this contract will be fair and reasonable. To determine the price fair and reasonable, I intend to compare the proposed prices to historical prices paid, whether by the Government or other than the Government, for the same or similar items/services in accordance with FAR 15.404-1(b)(2). Certified cost or pricing data will not be required in accordance with FAR 15.403-2(b)(3). The Government will compare the contractor's proposed price to the previously competed, firm-fixed prices established on the base IDIQ contract which was determined fair and reasonable at the time of the initial award.

9. Technical or Requirements Personnel's Certification:

I certify that the facts and representations under my cognizance, which are included in this justification, and which form a basis for this justification, are complete and accurate to the best of my knowledge and belief.

[REDACTED] Digitally signed by [REDACTED]
[REDACTED]
Date: 2026.04.30 12:03:41 -04'00'

Name: [REDACTED]
Title: Division Chief
Directorate/Office: DC&A IMO

[REDACTED]

Reviews and Approval

Contracting Officer's Certification:

I certify that this justification is accurate and complete to the best of my knowledge and belief.

[REDACTED] Digitally signed by
[REDACTED]
Date: 2026.04.30
12:06:27 -04'00'

Name: [REDACTED]
Title: Contracting Officer
Directorate/Office: ATE/PRS

Advocate for Competition (if over \$900K):

Based on the foregoing justification, I hereby approve the procurement of Single Bureau Consumer Employment Credit Reports and Tri-Merge Credit reports for PV as an exception to fair opportunity pursuant to the authority of 41 U.S.C. 4106(c) as implemented by FAR 16.507-6(b)(1), subject to the availability of funds, and provided the services described herein have otherwise been authorized for acquisition.

[REDACTED] Digitally signed by
[REDACTED]
Date: 2026.04.30
12:11:18 -04'00'

Name: [REDACTED]
Title: Senior Procurement Executive
Directorate/Office: ATE/PRS